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November 21, 2024

Separation to Speculation: How Gramm-Leach-Bliley Bolstered Deregulatory Ambition

On signing the Gramm-Leach-Bliley Act of 1999, President Clinton proudly announced "over the past 7 years, we've tried to modernize the economy, and today what we're doing is modernizing the financial services industry, tearing down these antiquated walls, and granting banks significant new authority."[1] Building on the deregulatory momentum from the Reagan era, the Gramm-Leach-Bliley Act (GLBA) repealed provisions of the Glass-Steagall Act of 1933, dismantling the decades-old separation between commercial and investment banking.[2] Clinton's administration framed the repeal as a necessary modernization of the banking industry.[3] By aligning the financial sector with the demands of the rapidly evolving global economy, commercial banks would be able to remain competitive, as investment banks enjoyed significantly higher profit margins.[4] GLBA, however, repealed a structural firewall—intended to ensure commercial banks prioritized depositors' interests ahead of volatile, but potentially lucrative, financial practices—thus opening the door to moral hazard.[5] Due to the technological

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[1]William J. Clinton, "Statement on Signing the Gramm-Leach-Bliley Act," *The American Presidency Project.* November 12, 1999, https://www.presidency.ucsb.edu/documents/statement-signing-the-gramm-leach-bliley-act#axzz1aV0pqgub ; Scheer, Robert. *The Great American Stickup: How Reagan Republicans and Clinton Democrats Enriched Wall Street While Mugging Main Street*. New York: Nation Books, 2010.

[2]Matthew Sherman, "A Short History of Financial Deregulation in the United States." *Center For Economic and Policy Research* (July 1, 2009), 10, https://cepr.net/report/a-short-history-of-financial-deregulation-in-the-united-states/.

[3]Sherman, "A Short History of Financial Deregulation in the United States," 10.

[4]Oonagh McDonald, "The Repeal of The Glass-Steagall Act: Myth and Reality." *CATO Institute.* November 16, 2016. https://www.cato.org/policy-analysis/repeal-glass-steagall-act-myth-reality ; Jolina C. Cuaresma, "The Gramm-Leach-Bliley Act," *Berkeley Technology Law Journal* 17, no. 1 (2002), 497, http://www.jstor.org/stable/24120119 ; Jonathan R. Macey, "The Business of Banking: Before and After Gramm-Leach-Bliley," *Journal of Corporation Law* 25, no. 4 (Summer, 2000): 691. https://exeter.idm.oclc.org/login?url=https://www.proquest.com/scholarly-journals/business-banking-before-after-gramm-leach-bliley/docview/220765525/se-2.

[5]Daniel K. Tarullo, "Financial Regulation: Still Unsettled a Decade After the Crisis," *The Journal of Economic Perspectives* 33, no. 1 (2019): 62, https://www.jstor.org/stable/26566977; Simon Smelt, "Regulation of Financial Markets: Panics, Moral Hazard, and the Long-Term Good." In *Public Policy: Why Ethics Matters*, ed. Jonathan Boston, Andrew Bradstock, and David Eng, (ANU Press, 2010), 235, http://www.jstor.org/stable/j.ctt24h2rv.16.

boom of the 1990s and corresponding deregulatory trend, the negative consequences of high-risk financial practices seemed remote and Glass-Steagall was rendered obsolete. When the 2008 Financial Crisis transpired, precipitated by speculation, the apparent cause was the change in financial regulation, further allowing for speculation.[6] However, GLBA itself did not cause the 2008 Financial Crisis.[7] Rather, it was the broader deregulatory momentum of the era that led to both GLBA and, eventually, the crisis. The repeal of Glass-Steagall through GLBA actualized this momentum in financial regulation, fundamentally and politically redefining the function of the commercial bank and, in turn, enabling the very risk-taking practices that would culminate in the 2008 Financial Crisis.

Well before GLBA was enacted in 1999, commercial banks started to engage in speculative and ostensibly prohibited activities, such as dealing in and underwriting securities, without regulatory interference. Reflecting on the efficacy of Glass-Steagall in curbing such practices, regulatory attorney Jolina C. Cuaresma observed, "Had it been effective, the Act would have minimized direct competition between banks and securities firms."[8] Commercial banks, instead, by 1990 participated in many of the securities activities as they had before Glass-Steagall.[9] While Glass-Stegall did succeed in minimizing speculation for an extended period, its effectiveness waned over the decades as commercial banks found methods to subvert its purpose. During the early stages of stagflation in the 1970s, *Investment Company vs. Camp*

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[6]Jonathan Kirshner, "KEYNES AND THE ELUSIVE MIDDLE WAY." In *The Downfall of the American Order?*, edited by Jonathan Kirshner and Peter J. Katzenstein, 30. Cornell University Press, 2022. http://www.jstor.org/stable/10.7591/j.ctv1sfsf3t.5.

[7]Amy L. Anderson, "What Gramm-Leach-Bliley did," *American Banker,* (Feb 05, 2001) https://exeter.idm.oclc.org/login?url=https://www.proquest.com/newspapers/what-gramm-leach-bliley-did/docview/249843236/se-2.

[8]Jolina C. Cuaresma, "The Gramm-Leach-Bliley Act," *Berkeley Technology Law Journal* 17, no. 1 (2002), 499, http://www.jstor.org/stable/24120119.

[9]Jolina C. Cuaresma, "The Gramm-Leach-Bliley Act," *Berkeley Technology Law Journal* 17, no. 1 (2002), 499, http://www.jstor.org/stable/24120119.

(1971) granted banks limited leeway in securities activities.[10] Later in the 1970s, the Community Development Act of 1974 and subsequent regulatory decisions by the OCC and Federal Reserve allowed banks to steadily expand their activities, incrementally eroding Glass-Steagall's intended separation.[11] By the 1990s, a wide range of unregulated derivative instruments were developed—such as credit default swaps, which diversified risk for bonds and enabled banks to profit speculatively—all of which commercial banks actively engaged in due to the lack of oversight in those markets.[12] These innovations in financial instruments, in which both commercial and investment banks had partaken, was novel to the 1990s. Perhaps, what was more distinct to the 1990s was that the political climate, rooted in market fundamentalism—"the belief that there was one set of correct policy practices appropriate for all settings, and the sharp-elbowed promotion of financial globalization"[13]—which accelerated Glass-Steagall's demise.

Under the ideology of market fundamentalism, globalization exposed inconsistencies in Glass-Steagall's enforcement, contributing to its eventual repeal. As noted by the CATO Institute, "Another often ignored fact is that the Glass–Steagall commercial-investment banking separation only applied to U.S. banks' domestic operations."[14] Commercial banks competed internationally with firms, not legally separated into commercial and investment banks, through

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[10]Oonagh McDonald, "The Repeal of The Glass-Steagall Act: Myth and Reality," *CATO Institute,* (November 16, 2016) https://www.cato.org/policy-analysis/repeal-glass-steagall-act-myth-reality.

[11]McDonald, "The Repeal of The Glass-Steagall Act: Myth and Reality."

[12]Sherman, "A Short History of Financial Deregulation in the United States," 11 ; Martin Neil Baily and Robert E. Litan, "The Origins of the Financial Crisis." *Brookings Institution*, November 2008, 16, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf.

[13]Kirshner, "KEYNES AND THE ELUSIVE MIDDLE WAY," 30.

[14]Michel Norbert, "The Glass-Steagall Act: Unravelling the Myth." *The Heritage Foundation.* April 28, 2016. https://www.heritage.org/markets-and-finance/report/the-glass-steagall-act-unraveling-the-myth

offering various securities services.[15] By the 1980s, commercial U.S. banks were underwriting and dealing in securities internationally, while such activities remained prohibited domestically.

Extending from the 1980s, economic expansion was consistently prioritized. Asymmetrical competition between U.S. commercial and investment banks became increasingly pronounced, as these institutions were operating with virtually identical functions in global markets—pursuing profit at scale by leveraging complex financial instruments—while remaining subject to differing domestic regulations. Reflecting the broader deregulatory momentum of the era, this disparity ultimately raised a central question underpinning the Gramm-Leach-Bliley Act: why preserve the distinction domestically when global banking practices had rendered functions of commercial and investment banks fundamentally indistinguishable internationally? And didn't the fact that the broader bank holding companies were subject to the volatility of global investment banking through their international arms make all these global banks risky anyway? Moreover, hadn't commercial banks already participated in speculation in unregulated markets?

Additionally, monetary policy had rendered Glass-Steagall virtually useless. While the contrast between domestic restrictions and global practices grew starker, the deregulatory sentiments, rooted in market fundamentalist, grew stronger and influenced monetary policy. Wielding much power over monetary policy—policy controlling the money supply and thus curbing or encouraging growth and stability—the Federal Reserve bore significant control over general macroeconomic conditions.[16] In Clinton's Presidency, through lower interest rates and easier credit, monetary policy fostered greater borrowing and investment, and spurred more

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[15]Michel Norbert, "The Glass-Stegall Act: Unravelling the Myth." *The Heritage Foundation.* April 28, 2016. https://www.heritage.org/markets-and-finance/report/the-glass-steagall-act-unraveling-the-myth

[16]Andrew J. Taylor and John W. Burns, "A New Democrat? The Economic Performance of the Clinton Presidency." *The Independent Review* 5, no. 3 (2001): 388. https://www.jstor.org/stable/24562612.

speculative financial risk-taking behavior, which was most evident in the internet stock mania of the 1998-99.

Chair of the Federal Reserve, Alan Greenspan, continually raised the percent rule on debt and equity securities for commercial banks since he had been appointed in 1987; this further encouraged speculation. As noted by the Center for Economics and Policy Research, Alan Greenspan, "early in his tenure,"[17] had "reinterpreted Glass-Steagall to allow banks to deal in certain debt and equity securities, so long as it did not exceed the 10 percent limit rule,"[18] thereby allowing commercial banks to engage in activities traditionally designated for investment banks domestically. "Later, in 1996, the Federal Reserve issued an audacious ruling, allowing bank holding companies to own investment banking operations that accounted for as much as 25 percent of their revenues."[19]As any institution could have operated within the 25 percent level, the Fed's decision rendered Glass-Steagall effectively obsolete.[20]Although some technical limits remained, they were largely inconsequential. Glass-Steagall's obsolescence deemed GLBA a logical step forward. With monetary policy and regulatory decisions having already made financial regulation ineffective, their retention served no real purpose, especially during an economic boom when the prevailing belief was that deregulation would further amplify profits.[21]

The boom—and the business cycle—was trending towards massive deregulation.

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[17]Sherman, "A Short History of Financial Deregulation in the United States," 9.
[18]Sherman, "A Short History of Financial Deregulation in the United States," 9.
[19]Sherman, "A Short History of Financial Deregulation in the United States," 9.
[20]Sherman, "A Short History of Financial Deregulation in the United States," 9; VICTORIA GEYFMAN and TIMOTHY J. YEAGER. "On the Riskiness of Universal Banking: Evidence from Banks in the Investment Banking Business Pre- and Post-GLBA." *Journal of Money, Credit and Banking* 41, no. 8 (2009): 1650. http://www.jstor.org/stable/20685079.

[21]VICTORIA GEYFMAN, and TIMOTHY J. YEAGER. "On the Riskiness of Universal Banking: Evidence from Banks in the Investment Banking Business Pre- and Post-GLBA." *Journal of Money, Credit and Banking* 41, no. 8 (2009): 1650. http://www.jstor.org/stable/20685079.

It was on this basis that President Clinton enacted GLBA. As stated in an assessment of the Clinton Presidency's economic performance, "all presidents are also at the mercy of the domestic business cycle—swings in the U.S. economy that politics cannot completely explain."[22] To some extent, any policy implemented by President Clinton had to reflect the business cycle of economic upturn and corresponding deregulatory efforts associated. Not only had that logic applied to the business cycles of the U.S., but due to globalization, which fundamentally connected the business cycles of all economies, President Clinton was at mercy to the global economy and the fluctuations of international capital markets.[23]Thus, the contrast between domestic restrictions and global practices deepened, proving irreconcilable with a political economy dominated by market fundamentalism.

GLBA enabled commercial banks to freely maximize their profits. The repeal of Glass-Steagall was a monumental act of deregulation, as it ratified the status quo, legally redefining the function of commercial banks to align with investment banks.[24] This institutionalization of their expanded roles politically reinforced market fundamentalism, as it signaled that government policy would defer to market incentives rather than regulatory restraint, affirming the belief that financial markets should operate with minimal oversight.

Given the economic boom and the political climate, Alan Greenspan was incentivized to continue to implement his monetary policy of rate reduction—at least until the early 2000s after

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[22]Andrew J. Taylor and John W. Burns, "A New Democrat? The Economic Performance of the Clinton Presidency." *The Independent Review* 5, no. 3 (2001): 388. https://www.jstor.org/stable/24562612.

[23]Andrew J. Taylor and John W. Burns, "A New Democrat? The Economic Performance of the Clinton Presidency." *The Independent Review* 5, no. 3 (2001): 388. https://www.jstor.org/stable/24562612.

[24]Sherman, "A Short History of Financial Deregulation in the United States," 10; Amy L. Anderson, "What Gramm-Leach-Bliley did." *American Banker,* Feb 05, 2001.https://exeter.idm.oclc.org/login?url=https://www.proquest.com/newspapers/what-gramm-leach-bliley-did/docview/249843236/se-2.

the collapse of the tech bubble when he was slow to increase interest rates instead.[25] His monetary policy remained loose and this, in combination with the financial innovations of the 1990s, furthered a housing bubble, which appeared to not be particularly risky as historically housing prices had not materially declined. Additionally, there was immense confidence in the economy's stability—evidenced by the ongoing deregulatory trend.[26]

Operating in a largely deregulated market, commercial banks capitalized on the booming economy by aggressively expanding their use of complex financial instruments such as derivatives. "In a completely unregulated market,"[27] as noted, "derivatives trading expanded quickly, increasing from a total outstanding nominal value of $106 trillion in 2001, to a value of $531 trillion in 2008."[28] This rapid expansion overwhelmed the legal and technological infrastructure of the industry.[29] Commercial banks, the major players in the derivatives market, executed trades and entered contracts so quickly and freely, that no firm could have reliably determined the chain of obligations.[30] Regulators, relying on self-regulation to mitigate potential risks, failed to anticipate the systemic vulnerabilities this created.[31]This unchecked growth and lack of oversight facilitated the 2008 Financial Crisis.

The 2008 Financial Crisis emerged from a confluence of deregulation, over-reliance on self-regulation, and the rapid expansion of speculative trading. The crisis' features included:

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[25]Martin Neil Baily and Robert E. Litan, "The Origins of the Financial Crisis." *Brookings Institution*, November 2008, 23, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf ; Sherman, "A Short History of Financial Deregulation in the United States," 10.
[26]Sherman, "A Short History of Financial Deregulation in the United States," 10.
[27]Sherman, "A Short History of Financial Deregulation in the United States," 11.
[28]Sherman, "A Short History of Financial Deregulation in the United States," 11.
[29]Sherman, "A Short History of Financial Deregulation in the United States," 11.
[30]Sherman, "A Short History of Financial Deregulation in the United States," 11.
[31]VICTORIA GEYFMAN, and TIMOTHY J. YEAGER. "On the Riskiness of Universal Banking: Evidence from Banks in the Investment Banking Business Pre- and Post-GLBA." *Journal of Money, Credit and Banking* 41, no. 8 (2009): 1653. http://www.jstor.org/stable/20685079.

excessive leverage, opaque securitization practices, and a lack of liquidity in credit markets.[32] As derivatives such as credit default swaps became pervasive, institutions underestimated counterparty risks, leading to cascading failures when contracts could not be honored.[33] The collapse of the financial sector, fueled by deregulation and a booming but fragile derivatives market, culminated in the largest financial downturn since the Great Depression.

The over-reliance on self-regulation arose from confidence in the economy during what appeared to be a period of remarkable growth and accompanying deregulation. This up-turn was accelerated by GLBA when it exempted derivatives from regulation. Enabling commercial banks to operate as investment banks rapidly expanded speculative trading. The expansion, however, was not only due to GLBA as Alan Greenspan kept monetary policy loose as well. Additionally, these instruments were not invented by GLBA; they were innovations of the 1990s and, consequently, were inventions of the deregulatory momentum marking the era. For these features collectively spearheaded the crisis, it cannot be attributed to GLBA alone. Though the 2008 Financial Crisis was exacerbated by GLBA, the downturn would likely have occurred regardless, given historical patterns of business cycles. However, the commercial banking system's capacity to add financial and operating leverage to go along with interdependence among few larger institutions made a normal cyclical downturn into the largest financial crisis in almost a century.

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[32]Martin Neil Baily and Robert E. Litan, "The Origins of the Financial Crisis." *Brookings Institution*, November 2008,https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf
[33]Martin Neil Baily and Robert E. Litan, "The Origins of the Financial Crisis." *Brookings Institution*, November 2008, 16, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf.

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